India’s approach to defence industrial production is changing rapidly. For almost two decades after about 2000, India inched towards greater diversification of defence procurement, more sustainable and realistic indigenous content requirements, and greater domestic competition involving the private sector. India also made attempts at convincing partners to reduce export controls, sign bilateral security agreements, and increase defence ministry engagements with key constituencies. In time, its defence exports grew from a low base of $145 million in 2014 to $2.6 billion in 2023. [13] But the Russia–Ukraine war after 2020 proved something of an inflection point. Russian attrition in the conflict, supply chain constraints, and difficulties in making payments prompted a further Indian push toward defence indigenization and technology transfers in new contracts.

In addition to meeting the needs of the Indian armed services, the scope for exports in armaments and ammunition is considerable. Potential areas include aircraft engines and marine turbines; anti-tank and anti-air missile systems; armoured vehicles, artillery, small arms, and munitions; drones and counter-unmanned aerial systems; maritime surveillance; and maintenance, repair, and overhaul. Another critical area in which greater efforts will need to be expended by India involves shipbuilding, particularly larger hulls for both commercial and military purposes.

Although the direction is clear, certain steps would accelerate the process of defence indigenization. This would include greater predictability in procurement specifications (including timelines and budgets) to ensure long-term private sector investment, better alignment between threat perception and qualitative requirements, more consistency between requests for information (RFIs) and requests for proposals (RFPs), and closer public-private coordination. These steps could help accelerate India’s attainment of an indigenous defence industry that would meet its national security needs and compete in export markets. Procurement processes should encourage competition, including between domestic public sector undertakings (PSUs), the private sector, and foreign vendors, in order to derive maximum benefits and build redundancies. Overall, India must prioritize its operational requirements (including in terms of quality), taking into account